

HF GROUP PLC

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HF GROUP PLC SUMMARY CONSOLIDATED STATEMENT OF FINANCIAL POSITION		
	31 DECEMBER 2020 Shs '000	31 DECEMBER 2019 Shs '000
ASSETS		
Cash and balances with Central Bank of Kenya	2,284,217	2,982,324
Placements with other banks	202,435	803,923
Investments in government securities	7,105,617	4,602,869
Loans and advances to banks	201,509	227,770
Loans and advances to customers	36,796,964	38,551,968
Investments in joint ventures	1,635,079	1,731,214
Investment properties	1,263,268	1,256,768
Other assets	1,822,063	2,213,110
Property and equipment	1,237,680	1,218,406
Right of use assets	543,174	635,125
Intangible assets	703,254	863,505
Current income tax recoverable	344,930	151,220
Deferred income tax	1,305,059	1,216,715
TOTAL ASSETS	55,445,249	56,454,917
LIABILITIES		
Deposits from customers	39,944,490	37,399,987
Deposits from banks	1,190,118	528,250
Lease liabilities	650,751	714,751
Other liabilities	1,417,015	1,763,888
Government of Kenya income notes	52,860	52,849
Borrowings	3,628,227	5,803,723
TOTAL LIABILITIES	46,883,461	46,263,448
EQUITY		
Ordinary share capital	1,923,071	1,923,071
Ordinary share premium	4,343,512	4,343,512
(Accumulated losses)/retained earnings	(2,384,780)	307,902
Statutory credit risk reserve	3,653,888	2,668,069
Other reserves	1,026,097	948,915
TOTAL EQUITY	8,561,788	10,191,469
TOTAL LIABILITIES AND EQUITY	55,445,249	56,454,917

SUMMARY CONSOLIDATED INCOME STATEMENT		
	31 DECEMBER 2020 Shs '000	31 DECEMBER 2019 Shs '000
Net interest income	1,866,260	2,018,307
Non-interest revenue	512,466	1,352,606
Total income	2,378,726	3,370,913
Credit impairment charges	(405,069)	(298,969)
Income after impairment charges	1,973,657	3,071,944
Total operating expenses	(3,653,406)	(3,211,874)
Loss before taxation and share of (loss)/profit in joint ventures	(1,679,749)	(139,930)
Share of (loss)/profit in joint ventures	(96,133)	2,128
Loss after share of (loss)/profit in joint ventures	(1,775,882)	(137,802)
Income tax expense	69,019	27,694
Loss for the year	(1,706,863)	(110,108)

SUMMARY CONSOLIDATED STATEMENT OF OTHER COMPREHENSIVE INCOME		
	31 DECEMBER 2020 Shs '000	31 DECEMBER 2019 Shs '000
Loss for the year	(1,706,863)	(110,108)
Other comprehensive income		
Revaluation surplus on property and equipment, net of tax	130,222	-
Fair value (loss)/gain on investments in financial instruments measured at fair value through other comprehensive income (FVOCI), net of tax	(53,040)	72,973
Other comprehensive income net of tax	77,182	72,973
Total comprehensive loss for the year	(1,629,681)	(37,135)
Earnings per share basic and diluted (in Shs):	(4.44)	(0.29)

SUMMARY CONSOLIDATED STATEMENT OF CHANGES IN EQUITY						
	Share capital Shs '000	Share premium Shs '000	(Accumulated losses)/retained earnings Shs '000	Statutory reserve Shs '000	Other reserves Shs '000	Total equity Shs '000
At 1 January 2019	1,923,071	4,343,512	1,292,467	1,885,489	875,942	10,320,481
Changes on initial application of IFRS 16, net of deferred income tax	-	-	(91,877)	-	-	91,877
Loss for the year	-	-	(110,108)	-	-	(110,108)
Transfer to statutory credit risk reserve	-	-	(782,580)	782,580	-	-
Other comprehensive income net of tax	-	-	-	-	72,973	72,973
At 31 December 2019	1,923,071	4,343,512	307,902	2,668,069	948,915	10,191,469
At 1 January 2020	1,923,071	4,343,512	307,902	2,668,069	948,915	10,191,469
Loss for the year	-	-	(1,706,863)	-	-	(1,706,863)
Transfer to statutory credit risk reserve	-	-	(985,819)	985,819	-	-
Other comprehensive income net of tax	-	-	-	-	77,182	77,182
At 31 December 2020	1,923,071	4,343,512	(2,384,780)	3,653,888	1,026,097	8,561,788

SUMMARY CONSOLIDATED STATEMENT OF CASH FLOWS		
	31 DECEMBER 2020 Shs '000	31 DECEMBER 2019 Shs '000
Net cash generated from operating activities	1,156,198	5,694,825
Net cash flows used in investing activities	(136,879)	(150,156)
Net cash flows used in financing activities	(2,312,646)	(6,216,719)
Net decrease in cash and cash equivalents	(1,293,327)	(672,050)
Effects of exchange rate differences	13,964	457
Cash and cash equivalents at 1 January	2,337,779	3,009,372
Cash and cash equivalents at year end	1,058,416	2,337,779

SUMMARY OF DIRECTORS' REMUNERATION REPORT

During the year the Group paid Kshs 17,463,000 (2019: Kshs 19,820,000) as directors' emoluments.

INDEPENDENT AUDITOR'S REPORT ON THE SUMMARY FINANCIAL STATEMENTS TO THE SHAREHOLDERS OF HF GROUP PLC

Opinion

We have audited the summary financial statements of HF Group Plc, which comprise the summary consolidated statement of financial position at 31 December 2020 and the summary consolidated income statement, summary consolidated statements of other comprehensive income, changes in equity and cash flows for the year then ended which are derived from the audited financial statements of HF Group Plc and its subsidiaries (together, the "Group") for the year ended 31 December 2020. The Group's financial statements are prepared in accordance with International Financial Reporting Standards and the Companies Act, 2015.

In our opinion the accompanying summary financial statements are consistent, in all material respects, with the audited financial statements of the Group which are prepared in accordance with International Financial Reporting Standards (IFRS) and the Companies Act, 2015.

The summary directors' remuneration report is derived from the directors' remuneration report for the year ended 31 December 2020.

Summary financial statements and directors' remuneration report

The summary financial statements do not contain all the disclosures required by International Financial Reporting Standards and in the manner required by the Companies Act, 2015. In addition, the summary directors' remuneration report does not contain all the disclosures required by the Companies Act, 2015 (General) (Amendment) (No. 2) Regulations, 2017.

Reading the summary financial statements, the summary directors' remuneration report and the auditor's report thereon, therefore, is not a substitute for reading the audited financial statements, the directors' remuneration report and the auditor's report thereon. The summary financial statements, the summary directors' remuneration report and the audited financial statements do not reflect the effects of events that occurred subsequent to the date of our report on the audited financial statements.

The audited financial statements and our report thereon

We expressed an unmodified audit opinion on the audited financial statements in our audit report dated 31 March 2021 and also confirmed that the auditable part of the directors' remuneration report was prepared in accordance with the Companies Act, 2015. That audit report also includes the communication of key audit matters. Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements of the current period.

Directors' responsibility for the summary financial statements

The directors are responsible for the preparation of the summary financial statements and the summary directors' remuneration report in accordance with the International Financial Reporting Standards and Companies Act, 2015.

Auditor's responsibility

Our responsibility is to express an opinion on whether the summary financial statements and the summary directors' remuneration report are consistent, in all material respects, with the audited financial statements based on our procedures, which were conducted in accordance with International Standard on Auditing (ISA) 810 (Revised), *Engagements to report on summary financial statements*.

CPA Kang'e Saiti, Practicing Certificate Number 1652

Engagement partner responsible for the audit

For and on behalf of PricewaterhouseCoopers LLP

Certified Public Accountants, Nairobi

5 May 2021.

The above summary financial statements are extracts from the records of the Group. They were approved by the Board of Directors on 30 March 2021 and signed on its behalf by:-

Robert Kibaara
Group Chief Executive Officer

Kaushik Manek
Ag. Chairman

Benson Wairegi
Director

Regina Anyika
Company Secretary

www.hfgroup.co.ke

HFC is a wholly owned subsidiary of HF Group
HFC is regulated by the Central Bank of Kenya

